

**Business**

San Francisco's boom loop in 15 simple charts

Crime's down, rents are up, transit's a mess: The city's resurgence is more complex than any simple up-or-down narrative suggests.



A cable car carries members of the San Francisco Giants after the 2010 World Series win. | Justin Sullivan/Getty Images

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San Francisco's comeback is in full swing.

That's the impression you get if you read the cheery headlines on the city's recovery, double-tap posts on the mayor's Instagram account, or — you know — go outside.

However, the truth is more complex than any simple up-or-down narrative suggests. That's why we're choosing to analyze San Francisco's condition through cold, hard numbers.

A survey of data on tourism, economic activity, and the real estate market shows the areas that are clearly looking up, as well as those where the spin may be clouding over reality.

Tourism

While San Francisco's current number of annual visitors is still several million below 2019 levels, the city has slowly made progress in bringing back tourists. This year's lineup of sporting events and music festivals has helped, as has the perception that San Francisco is going through a glow-up. Corporate conferences came swinging back at the Moscone Center, which will host 34 events in 2025 versus 25 last year, driving a 64% increase in related hotel bookings.

But, the Trump slump has dampened the momentum, according to the SF Travel Association. While overall tourism is expected to increase slightly to 23.49 million

visitors this year, the president's border policies and general hostility toward foreigners have spurred a projected 3.2% drop in international visitors.

Accordingly, international tourist spending in SF is forecast to decline 2.7% from 2024 to \$4.89 billion. As a result, overall visitor spending is expected to climb only modestly, from \$9.26 billion in 2024 to \$9.35 billion this year.

Our take: The verdict's still out. San Francisco is shedding a toxic reputation, but foreign policy issues are hampering big spenders from overseas.

The economy

Unemployment peaked in the double digits soon after the pandemic's onset but has remained relatively stable, and lower than the state average, since 2022. However, in recent months, the figure has started to tick up due in large part to declines in white-collar jobs in the tech and professional services that make up a key part of San Francisco's economy.

San Francisco during the pandemic had the dubious distinction of losing a larger proportion of its residents in one year than any other major U.S. city. But that trend started to reverse as early as 2022. Now, according to Moody's Analytics, the city is on a gradual climb back to its pre-pandemic population. The firm expects the three major Bay Area cities to reach that point by the end of the decade.

White-collar jobs might be harder to get these days, but total venture capital spending in San Francisco is higher than pre-pandemic levels, according to Pitchbook, thanks largely to OpenAI's \$40 billion funding round this year. That said, 63% of all funding in the U.S. flowed directly to the Bay Area in the first quarter of this year.

Our take: The verdict's still out. San Francisco is benefiting from its status as the AI capital of the world, but other white-collar industries are shedding jobs. There's also an open question about what would happen if the AI bubble bursts.

Retail

San Francisco's retail market has improved slightly. The vacancy rate (empty storefronts) decreased to 6.7% in the second quarter, compared with 7.4% in Q2 of last year, according to Kidder Mathews.

As vacant space shrinks, rents have been rising. Average commercial asking rents increased nearly 9% from \$31.45 per square foot in the second quarter of last year to \$34.15 per square foot in the same period this year, the firm says. Retail buildings are also fetching higher sale prices: The average price per square foot increased about 31% from \$360 in Q2 2024 to \$473 in Q2 2025.

Our take: The comeback is real. Although some San Francisco corridors still struggle

with record-high vacancy rates, the outlook for the city overall is brighter.

Small-business success

Some of the companies filling those storefronts have had a good year, too. Specifically, small businesses in San Francisco, Oakland, and Berkeley have collectively gotten stronger since 2024, according to the Fiserv Small Business Index, which scores them on sales activity, based on data from credit card swipes, cash payments, and checks.

Sales activity of shops in San Francisco grew 3.4% year-over-year, thanks in part to increased foot traffic, according to Fiserv. However, when adjusted for inflation, the score plunged to .3% growth.

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It's also been a slow summer: Small businesses saw their inflation-adjusted strength score decline more than 8% between April and August.

Our take: The verdict's still out. It remains difficult to run a small business in San Francisco, but incremental improvements like Mayor Daniel Lurie's permit reforms may make it easier.

Transit

In many ways, BART and Muni function as the vascular system of San Francisco's economy, ferrying commuters and travelers to their homes, jobs, and wherever else they need to go.

Ever since the pandemic reshuffled work patterns and hybrid office jobs became the norm, the blood pressure has been critically low, with struggling ridership contributing to a massive funding crisis for both agencies that will likely result in a plea for voters to bail them out by paying more taxes. Add to that major tech failures that have shut down trains repeatedly, and you don't have a

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Still, in a testament to the necessity of public transportation — and the fact that not everyone can afford to Uber, Waymo, or [drive to their destination](#) — Muni and BART have continued a staggered upward trajectory in terms of ridership. Muni has clawed

back 70% of pre-pandemic ridership, and while BART is still at less than 50% of 2019 levels, it continues to increase by double-digit percentages year-over-year.

Our take: No comeback yet. While ridership continues to rise, the massive fiscal cliff faced by the agencies needs a solution — and quickly.

Return to office

Office badge scans (representing people who show up to work in person) have hovered around 50% of pre-pandemic levels since 2023, according to Kastle Systems. Return-to-office numbers actually topped out in January 2024 at 60%, while this year's highest recorded date, in July, was 53.8%. The days with the most office visits are Tuesday, Wednesday, and Thursday, per Kastle data.

Another company, Placer.ai, used cellphone data to track how many workers are in top-tier offices such as Salesforce Tower. Those numbers paint a brighter picture, with San Francisco seeing the highest increase in office visits compared to last year, ahead of Houston, D.C., Boston, Chicago, New York, Miami, and Los Angeles.

Our take: The comeback is real. The population of office workers might never recover to pre-pandemic levels, but the sustained RTO push has been enough to inspire new restaurants and bars in the Financial District.

Residential real estate

The San Francisco housing market peaked in early 2022, before rapid interest rate increases and economic uncertainties put many buyers' home searches on hold. Agents say the market is finally starting to unfreeze, due in part to the strong possibility of an interest rate drop this fall and positive sentiment around San Francisco's turnaround.

Home prices and transaction rates are still well below those 2022 levels, but they are trending upward, according to Compass. Patrick Carlisle, the firm's chief market analyst, said the city always makes a comeback, buoyed by a highly educated and affluent buyer pool and a history of innovation, diversity, and culture, combined with physical beauty.

"All the talk of SF being in a 'doom loop' a year or two back was always utter clickbait-driven nonsense," he said. "The city has always bounced back from its downturns: in 1990, after the earthquake, then after the dotcom bust, then after the 2008 crash, and it is bouncing back now."

The city's position as the center of the AI universe is a large driver of the optimism, which can be seen in the rental market. The average one-bedroom rent is up 8.2%, year over year, while two-bedrooms have surged 16.4%, the fastest growth rate for units of that size in the nation, according to Zumper.

Our take: The comeback is real, but it might be slightly aggravating news for everyone who isn't a landlord or a home seller.

Commercial real estate

San Francisco continues to set unwanted records in office vacancy, topping out last quarter at 34.8%, per Cushman & Wakefield. Most of the vacancies were recorded in the Financial District, SoMa, and Mid-Market, where Big Tech has slashed its pre-pandemic office presence by half. But within that larger context, there are signs of life. In the second quarter of this year, San Francisco recorded the most leasing activity it has seen since 2019.

CBRE projects the momentum to continue as new companies expand their workforces. Of the 6.6 million square feet of space required by tenants in the market today, 2 million are expected to get leased. That represents the highest level of demand since 2019, when 4 million square feet were projected to be leased. Last year, only 600,000 square feet were expected out of that same pool of tenants.

This year, the nine-figure office deal returned. From 2023 to 2024, when interest rates spiked and pre-pandemic office loans started coming due, the majority of distressed office sales in San Francisco went for eight figures. Experts and market participants regarded this period as the bottom. But this year, buoyed by optimism around a resurgence in tech, opportunistic investors have been pouncing on larger properties for

bigger prices. And they're bringing institutional partners that were previously spooked by San Francisco.

In April, DivcoWest partnered with Blackstone to buy 300 Howard St. for \$111 million. A month later, Greg Flynn brought in New York-based partners DRA Advisors to buy Market Center for \$177 million. And last week, Peninsula Land & Capital bought its third building in San Francisco, at 505 Montgomery St., for \$105 million.

Our take: The verdict's still out. Vacancies continue to rise, and there's a lack of consensus on what to do with all the old office buildings.

Crime

Crime continues to drop, below pre-pandemic levels in all categories except arson. In 2024, San Francisco's crime rate fell to its lowest levels in more than 20 years. Homicides were at their lowest point in 60 years.

The perception still has to catch up to reality (though the lack of glittering glass on the sidewalks has been a welcome indicator of the decline in bipping). To help with enforcement, the city has added a slew of new tools in the last several years, including drones and automated license plate readers.

Our take: The comeback is real, even if naysayers continue to complain about lawlessness.

Vibes

It's hard to quantify vibes, but the famously fun San Francisco Chamber of Commerce has given it a try. For nearly four decades, the business group has released the results of a poll of voters meant to gauge their sentiment on various issues facing the city. For the last three years, the poll has asked if respondents thought the city was going in the right or wrong direction.

The results speak for themselves. In 2023, the first year the question was asked, 24% of respondents said the city was on the right track. That number has risen to 43%. It's a good sign, but notably, those optimists remain in the minority. That means for all the talk of a comeback, there's still plenty of ground to make up.

What might help: San Francisco sports this year got a shot in the arm. The city started by hosting the NBA All-Star Game, for the first time in two decades, at the Chase Center. The national event spurred a frantic rush to lease the entirety of Thrive City, the retail shops surrounding the Warriors' home venue. A month later, NCAA March Madness came and played two Sweet 16 games.

Then, as the summer kicked off, professional women's sports reigned supreme for the first time in city history. The Golden State Valkyries surpassed all expectations of an expansion team by selling out the Chase Center for nearly every home game. Natalie Nakase's team has a winning record and clinched a playoff berth in its first year.

Soccer team Bay FC made history last month by hosting its first game at Oracle Park, where 40,000-plus fans set the record for the highest attendance for a women's soccer match in North America.

The sports momentum will only continue. The Laver Cup, featuring tennis' biggest stars, will make its debut this month at the Chase Center after the U.S. Open. And next

year will bring the Super Bowl and World Cup to Levi’s Stadium.

Our take: The comeback is real. But it’ll take a little more wishful thinking and a little more time to make it complete.

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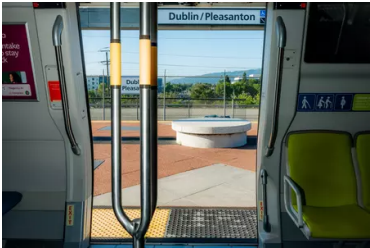


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